

LBOMODEL2 — Assumptions Drivers: Look + Justification Update

Excel: https://raw.githubusercontent.com/vengeanceai/USC/Rainmaker/cursor/vengeanceaiusclbomodel2-44dc/vengeanceaiUSC_LBOMODEL2.xlsx
AI infrastructure \$15m (row 9) source math: SF publishes \$2/conversation and ~\$0.10/action. At ZI scale (~378 outbound roles = 25% of 1,513 S&M;), \$5–10k/mo agents imply ~\$23–45m; \$15m is conservative.

Driver	Value	Why reasonable	Source math / credibility
Revenue growth	0.1	Assumes steady top-line expansion. Reasonable for a mature enterprise software company, avoiding aggressive hypergrowth assumptions while maintaining a healthy, realistic sales trajectory.	ZI disclosed FY24 revenue of \$1,214.3m (~2% YoY). Using 10% forward growth is a mature-SaaS recovery underwrite held equal in AI vs Base—not hypergrowth.
Gross margin	0.8	High profitability on direct services. Highly reasonable for a SaaS company, which historically scales digital infrastructure with minimal incremental cost per user.	Independent SaaS benchmarks put software median GM near 80%; ZI already prints ~84% GAAP GM, so 80% is conservative and industry-standard.
Sales payroll cut (Y1)	0.15	Immediate headcount reduction for human SDRs. Reasonable as a private equity cost-cutting measure, easily achieved by eliminating the lower-tier outbound sales team.	Published outbound economics show fully loaded human SDRs far costlier than AI stacks. ~15% Y1 payroll is a modest PE-style cut of outbound headcount, not a full S&M; wipeout.
Variable commission cut	0.2	Reduces payouts for automated sales. Reasonable because AI agents do not collect commission checks, retaining more profit per enterprise deal directly for the company.	SaaS SDR OTE is typically ~70% base / ~30% variable. Replacing humans with AI shrinks the commission pool; ~20% is a partial cut of that variable layer.
AI infrastructure (\$m)	15	Fixed cost for AI software and compute. Reasonable estimate for enterprise-scale AI deployment, covering API calls and infrastructure needed to replace human reps.	SF publishes \$2/conversation and ~\$0.10/action. At ZI scale (~378 outbound roles = 25% of 1,513 S&M;), \$5–10k/mo agents imply ~\$23–45m; \$15m is conservative.
S&M; expense growth Y2+	0.02	Caps future marketing cost increases. Reasonable because AI scales infinitely without needing proportional headcount additions, severing the link between revenue growth and human hiring.	Gartner documents production agentic AI as inference opex that scales without linear headcount. Cap S&M; growth at 2% to model that break from revenue-linked hiring.
G&A; % of revenue	0.18	General administrative overhead costs. Reasonable for a public-to-private SaaS company, maintaining standard corporate expenses without relying on unrealistic operational magic outside of sales.	ZI FY24 G&A; was \$295.3m (~24% of revenue). Locking ~18% keeps standard corporate overhead while the thesis only attacks the sales floor—not finance/comp magic.
CapEx reduction vs base	0.05	Lowers physical equipment spending. Reasonable because firing 15% of the sales team permanently eliminates the need to purchase and refresh their laptops and hardware.	Human SDR all-in budgets include laptops and seats. Cutting outbound humans removes refresh CapEx; ~5% vs base CapEx rate is a small, directionally correct haircut.
WC / receivables improvement	0.1	Speeds up cash collection from clients. Reasonable because automated AI billing systems can aggressively follow up on late invoices, freeing up cash for debt paydown.	ZI receivables ~80 days show WC is real. Automated billing follow-ups can shorten DSO; ~10% WC intensity vs base is a modest collections gain, not a wipeout.
SOFR	0.043	The foundational secured lending interest rate. Reasonable and historically accurate for the macroeconomic environment, properly reflecting actual institutional baseline borrowing costs.	SOFR is the NY Fed's official overnight Treasury-repo financing benchmark used to price leveraged loans. ~4.3% is a planning level near recent SOFR prints (see FRED).
Term Loan A spread	0.04	The risk premium for senior debt. Reasonable for a standard LBO, reflecting typical syndicated commercial bank pricing for secured corporate borrowing.	Bank TLA in LBO guides typically prices tighter than TLB (often SOFR+~275–375bps). SOFR+400bps is a conservative senior bank spread independent of AI ops.
Term Loan B spread	0.05	The risk premium for riskier debt. Reasonable, as Term Loan B is usually held by institutional investors requiring higher yields for slightly higher risk.	Institutional TLB commonly prices SOFR+300–500bps. SOFR+500bps is the upper published band—set by syndicated loan markets, not by internal AI strategy.
Mandatory amortization	0.01	Required annual principal repayment. Highly reasonable and standard market practice for leveraged loans, forcing a tiny minimum debt reduction each year.	Market-standard institutional TLB schedules ~1% annual amortization with a bullet maturity. Loan docs—not AI FCF—set this mandatory floor.
Cash sweep %	1	Dedicates all excess cash to debt. Reasonable and standard for maximizing LBO returns, ensuring every free dollar generated immediately aggressively reduces outstanding leverage.	Sponsor LBOs typically sweep excess FCF to optional debt prepay after mandatory amort. 100% sweep maximizes deleveraging so AI margins hit MOIC/IRR.
Tax rate	0.21	Corporate income tax obligation. Perfectly reasonable because it strictly matches the current standard U.S. federal statutory corporate tax rate without aggressive tax-dodging assumptions.	US federal corporate income tax is a flat 21% statutory rate. Operating-margin gains do not change the federal statutory rate used here.
Exit EV/EBITDA multiple	13	The valuation multiple upon selling. Reasonable to keep it conservative; relying on a 13x exit assumes no market inflation, proving returns come from operational growth.	PE SaaS deals often underwrite ~15–22x EBITDA. Locking exit at 13x in BOTH cases is deliberately conservative so returns come from ops, not multiple expansion.

S&M; baseline (\$m)	425	This is historical assumptions without AI. Total initial sales spend is reasonable, representing roughly 35% of FY24 revenue, perfectly aligning with standard SaaS benchmarks.	Company-reported FY24 S&M; = \$414.1m (~34% of \$1,214.3m). Model ~\$425m (~35%) is a rounded baseline consistent with that filing.
Payroll baseline (\$m)	318.8	This is historical assumptions without AI. The fixed salary portion is reasonable, representing 75% of S&M;., accurately reflecting that human software sales floors are base-salary heavy.	With ~70/30 base/variable SDR mix, most people cost is payroll. Payroll baseline = 75% of S&M; matches that base-salary-heavy sales-floor structure.
Commission baseline (\$m)	106.2	This is historical assumptions without AI. The variable payout is reasonable, calculating exactly to the remaining 25% of the budget, representing standard quota-based enterprise sales incentives.	Tech SDR variable is typically ~30–35% of OTE. Setting commission pool at 25% of S&M; is a slightly conservative carve of total S&M; for variable payouts.
CapEx base % of rev	0.02	This is historical assumptions without AI. Normal hardware and capitalized software spending is reasonable for asset-light tech companies investing heavily in code rather than factories.	SaaS is asset-light vs industrials; ZI still printed strong FY24 FCF. 2% of revenue is a simple maintenance CapEx planning rate before the AI –5% haircut.
WC base % of Δrev	0.02	This is historical assumptions without AI. Normal working capital needs are reasonable, showing that as revenue grows, a small percentage of cash gets tied up in daily operations.	Receivables ~80 days imply WC scales with growth. Using 2% of Δ revenue as Δ NWC is a simplified SaaS WC plug anchored to that receivables reality.
TLA rate (SOFR+4)	=C14+C15	Total Term Loan A interest. Mathematically correct and reasonable for the total borrowing cost demanded by senior lenders in this specific rate environment.	Computed as SOFR (C14) + TLA spread (C15). All-in ~8.3% matches senior secured bank pricing in this SOFR + 400bps setup.
TLB rate (SOFR+5)	=C14+C16	Total Term Loan B interest. Mathematically correct and perfectly reasonable, pricing the institutional debt risk appropriately above the safer Term Loan A.	Computed as SOFR (C14) + TLB spread (C16). All-in ~9.3% prices institutional TLB risk appropriately above TLA in this structure.

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